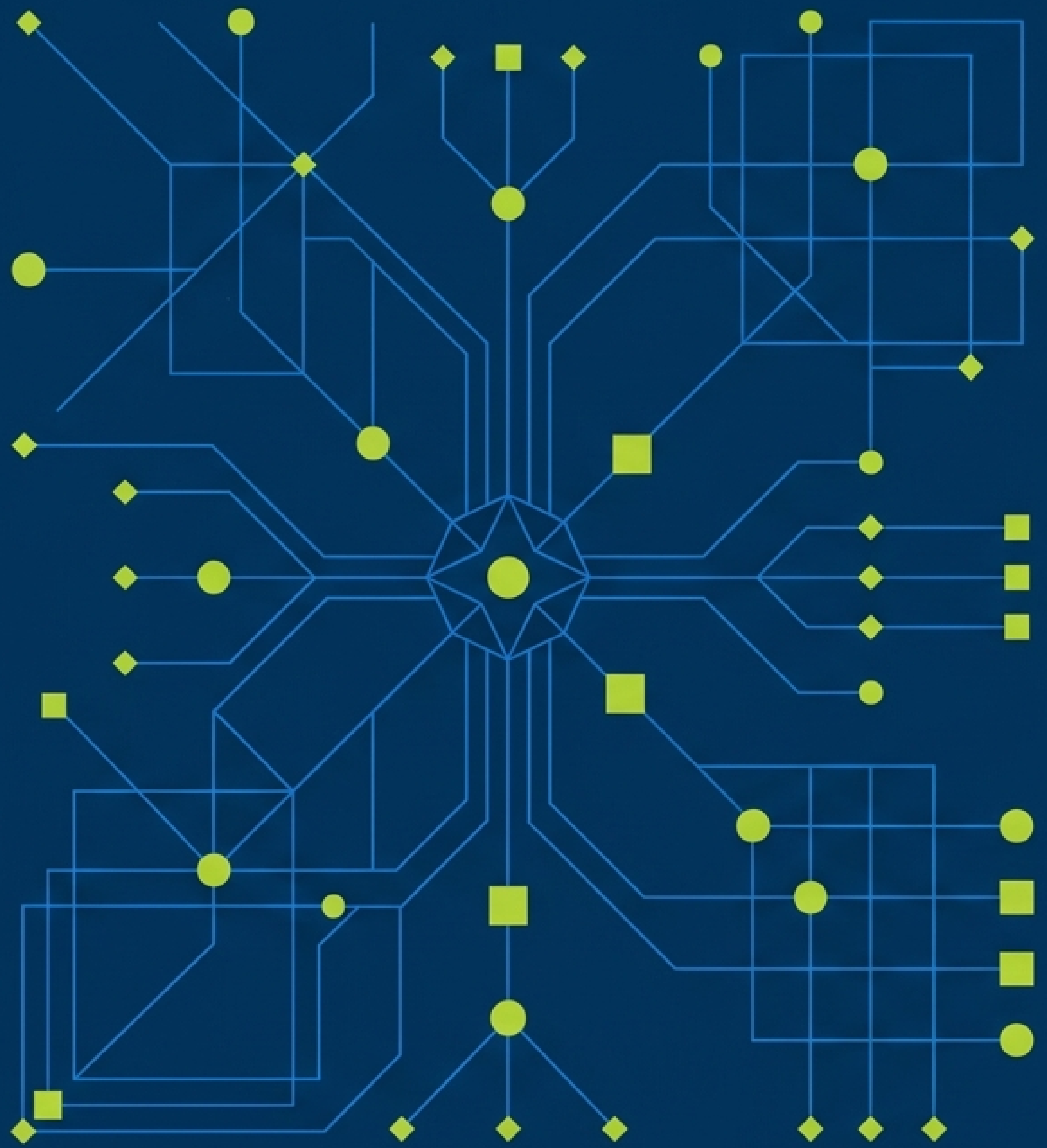


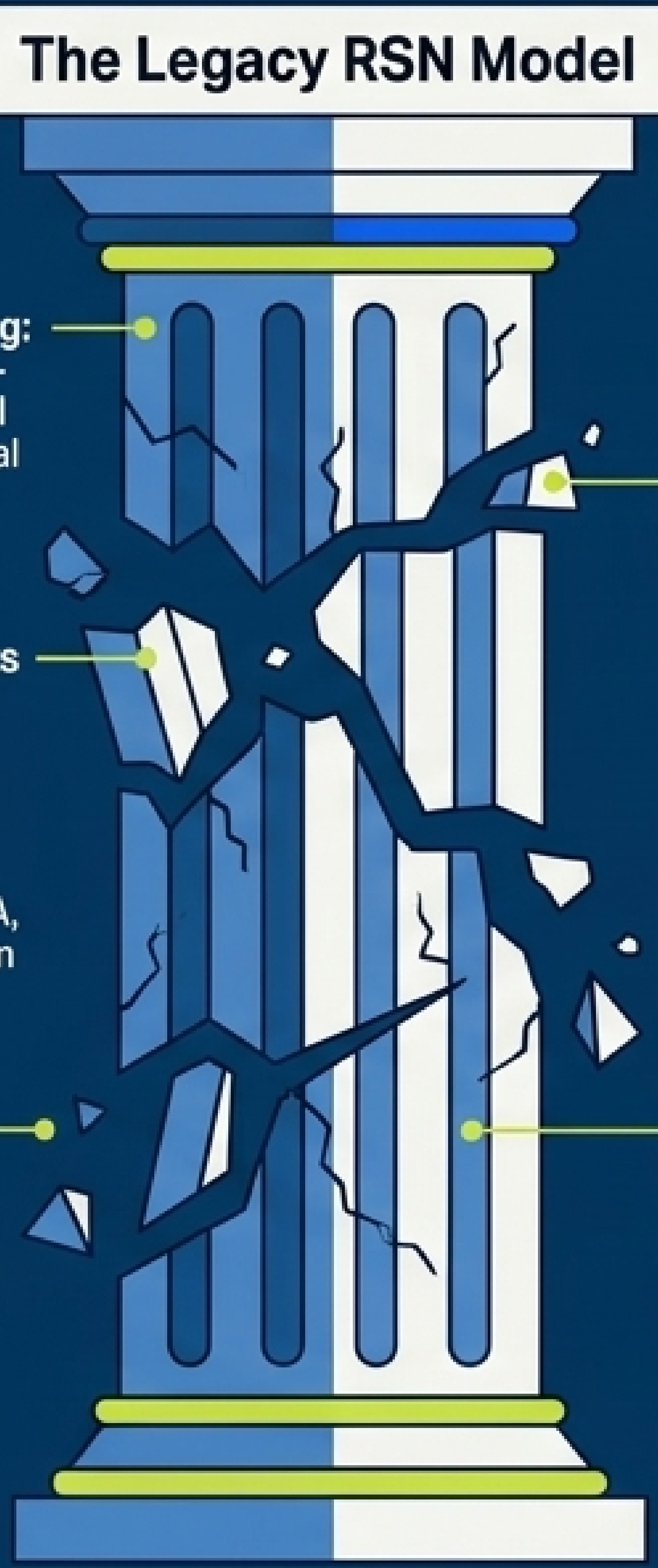
Validating the ArenzaTV B2B2C Pivot

How five macro-market shifts dictate a new QR-driven, FAST-partnered architecture for local sports engagement.

MARKET RESEARCH & BUSINESS MODEL STRATEGY REPORT

The Convergence Catalyst: The RSN Collapse

The Legacy RSN Model



Force 1: Rights Owners

Migrating to **Over-The-Air (OTA), league-run streaming, and FAST platforms** (e.g., Scripps Sports Network) covering live PWHL, NWSL, MLB, NHL, and Big Sky content on a 50/50 or 60/40 revenue-share basis. Seeking **direct-to-consumer apps.**

- OTA
- League Streaming
- FAST

Force 2: Local Broadcasters

Seeking **digital ad insertion, OTT banner ads, and digital revenue models for existing content.** E.g., WDRB Louisville earns revenue from digital extensions and local business sponsorship packages. Active search for monetization partners.

- Digital Ad Insertion
- OTT Banner Ads
- Digital Revenue Models

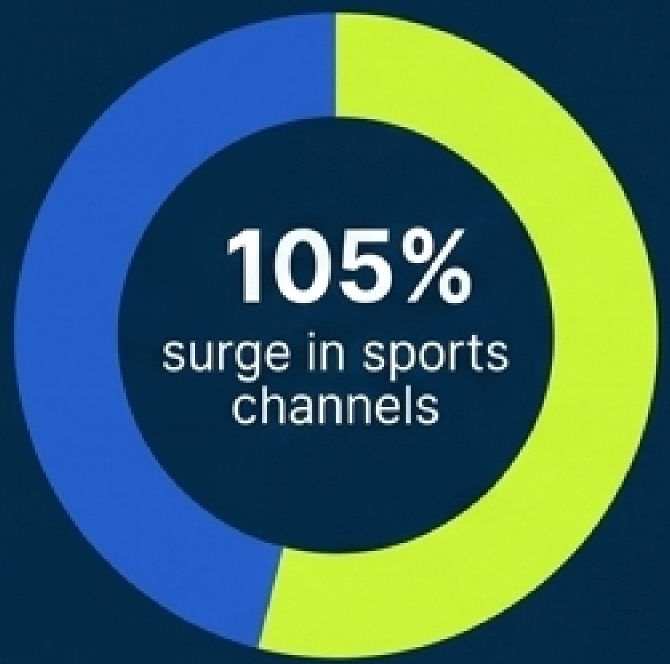
Force 3: Local Advertisers

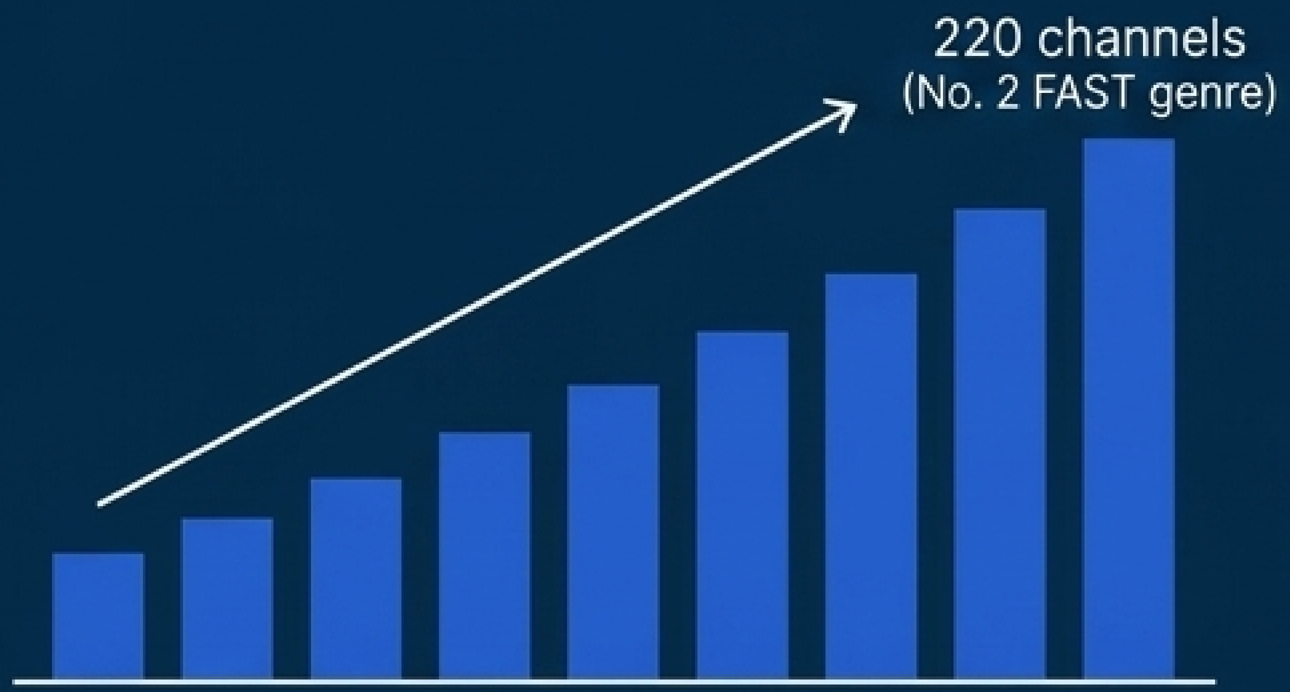
Searching for **affordable, hyper-local inventory** as linear fragmentation accelerates. Digital ad costs have risen 222% over the past decade; local sports bars spend **$2,000-$5,000** on CTV with zero attribution. Need affordable, hyper-local targeting and attribution.

- Affordable Inventory
- Hyper-Local Targeting
- Attribution

> **"There is no single destination for sports fans anymore... Rights owners need to create their own direct-to-consumer app now."** — Deirdre Lester

Pillar 1: The Macro Migration to FAST and Mobile Sports





The Mobile Reality

98% of Americans own mobile phones, averaging 4.5 hours daily. Gen Z averages 6+ hours.

Fragmented Attention

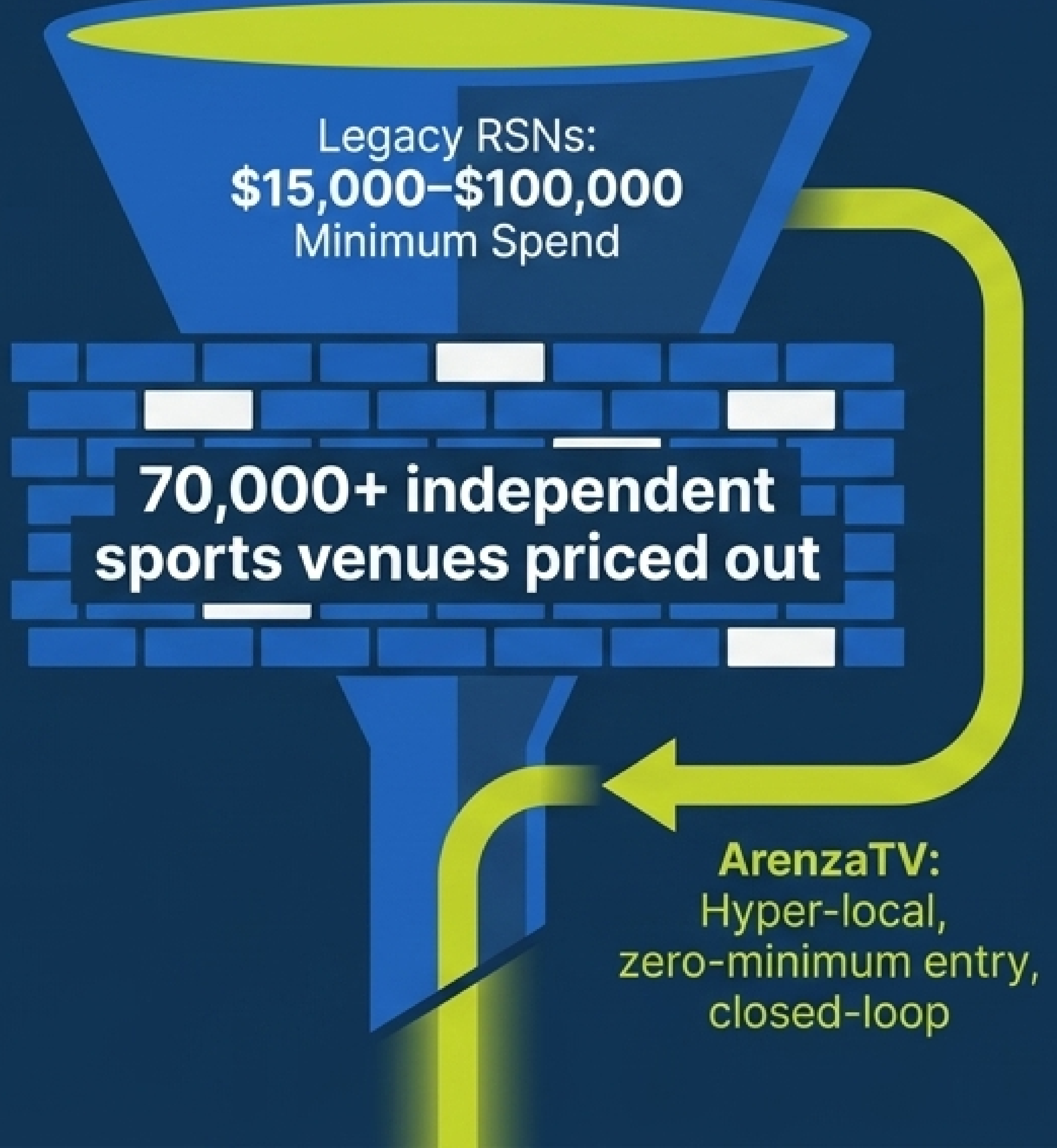
Only 54% of Gen Z 'often' watch full games, opting for **highlights** and **live moments** in mobile bursts.

The Conclusion

Mobile platforms **remove the cable barrier** entirely, delivering sports access during downtimes—the exact behavior pattern ArenzaTV captures.

Pillar 2: The Hyper-Local Advertising Lockout

The Local Ad Lockout Funnel



Digital is Too Expensive

222%

Google/digital customer acquisition costs (CAC) have risen 222% over the past decade.

CTV Lacks Attribution

$2,000–$5,000

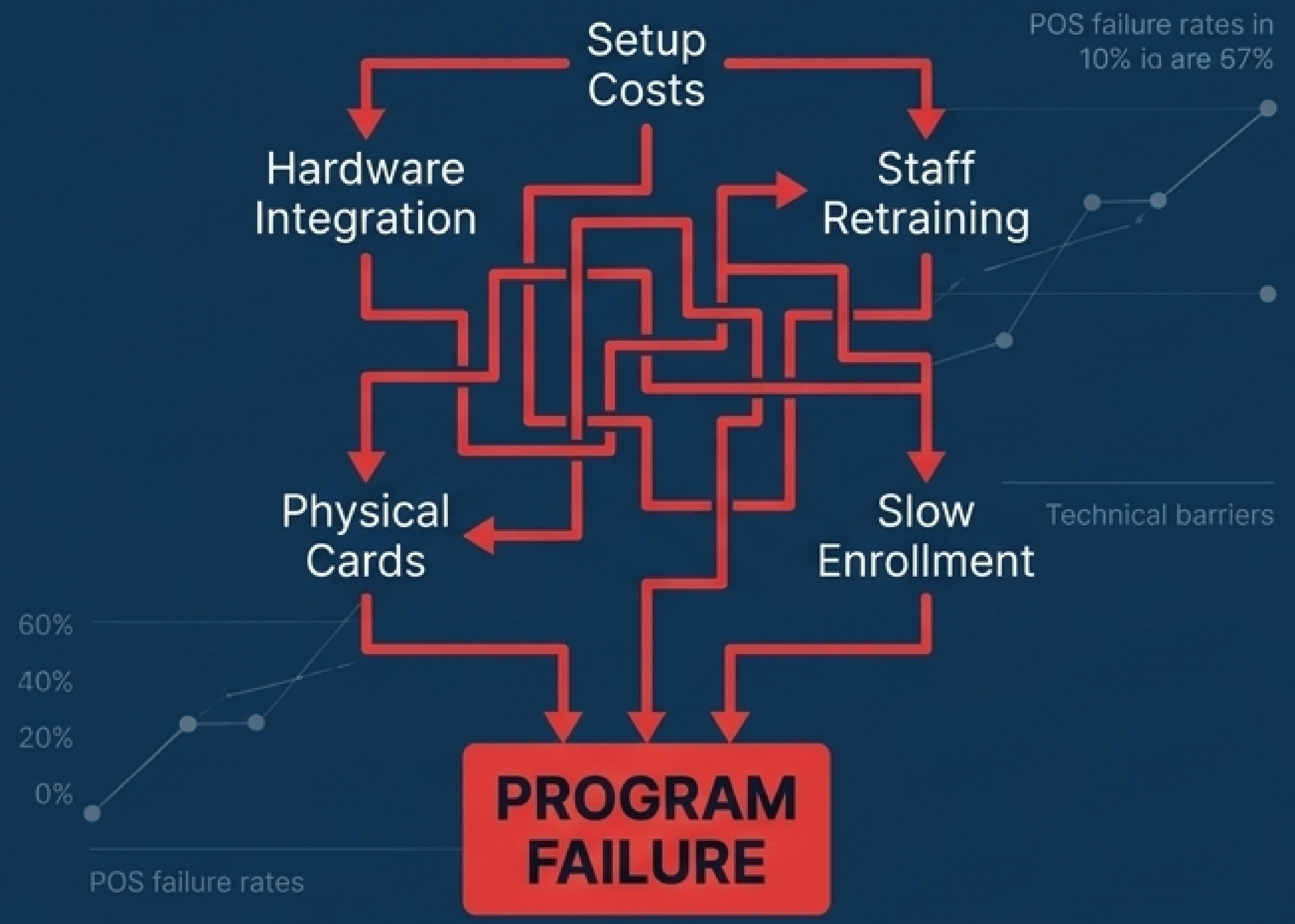
A sports bar might spend $2,000–$5,000 on CTV ads with zero ability to verify if a single viewer walked through their door.

The Conclusion

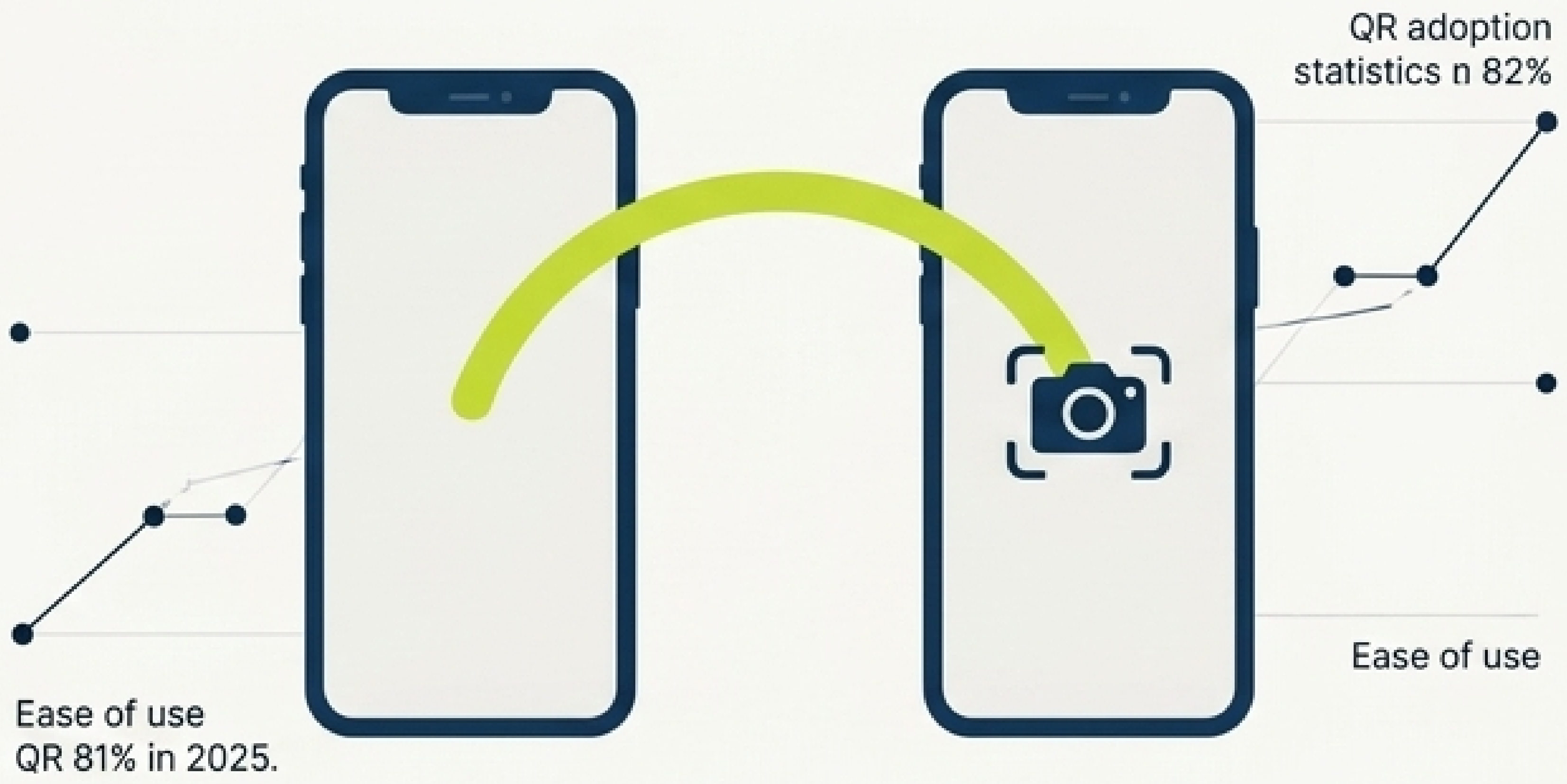
Attribution remains the central unsolved problem in local sports advertising.

Pillar 3: Friction to Flow in Local SMB Loyalty

The POS Hardware Trap



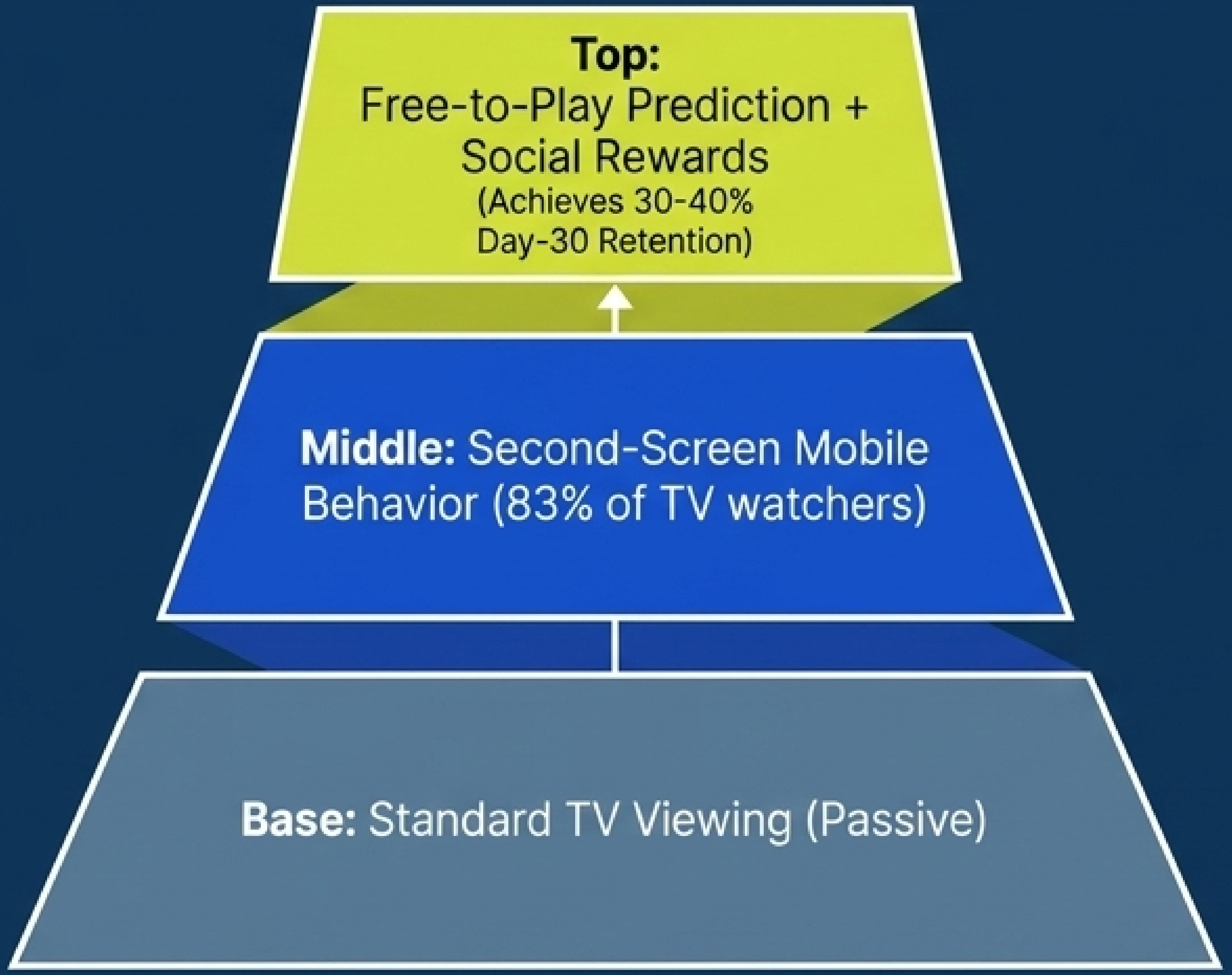
The ArenzaTV QR Hub Model



Instant deployment. No hardware, software, or POS modification. Over 89 million Americans scanned a QR code in 2025, and 82% are now comfortable scanning business codes.

The Business Case: Loyalty programs average 4.8x ROI. A 5% retention bump boosts profits 25–95%.

Pillars 4 & 5: The Interactive Engagement Stack



Second-Screen Intent

216.8 million

U.S. adults (80.6%) will use a smartphone as a second screen in 2026.

65% use it to look up info/visit advertisers while streaming.

34% of sports viewers visit an advertiser's site while watching.

Gamification ROI

37%

Gamification in sports marketing drives a 37% increase in engagement.

Doubles the 15-25% app industry average retention.

The Conclusion: Non-wagering prediction games that earn points redeemable at local businesses bypass strict gambling regulations while matching the psychological engagement loops of paid sportsbooks.

The Strategic Pivot: Re-architecting ArenzaTV

The Evolution Matrix

Model	Integration Requirement	Core Identity Hub	Primary Revenue Model	Fan Acquisition Strategy
Original ArenzaTV	POS Hardware Integration (High Friction)	App & Physical Systems	Merchant SaaS Subscriptions	Merchant Pipeline (Cold Start)
Revised B2B2C ArenzaTV	Zero Integration (Smartphone Scan)	Unique QR Code	FAST Ad-Share + Local Sponsorships	FAST Channel Distribution (Built-in Scale)

Insight: By shifting from merchant SaaS to ad-revenue sharing via FAST distribution, ArenzaTV funds the consumer reward pool without requiring upfront merchant payment or POS hardware.

The Technological Core: The QR Identity Hub

Customer Identity

Replaces logins and physical cards. A single, unique identifier for the fan.

Reward Wallet

Stores points earned from FAST sports free-to-play predictions. No complex token settlement required.

Location-Based Discovery

Passively connects fans to participating local sports bars and restaurants in their geographic area.

POS-Free Redemption

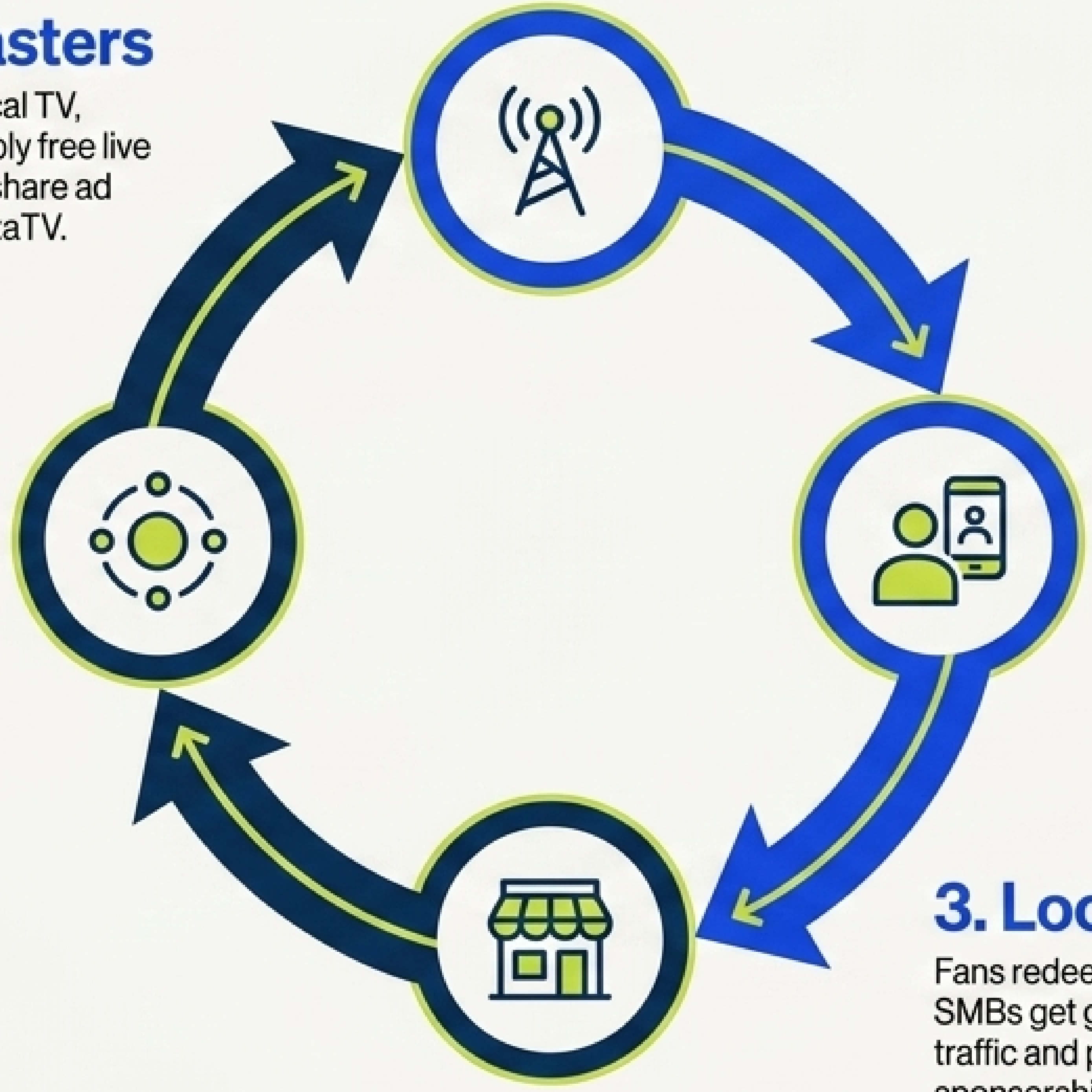
Merchant simply scans the fan's screen with their own smartphone camera. Takes seconds.

The QR code is not just a link; it is the entire closed-loop attribution system compressed into a single visual matrix.

The B2B2C System Architecture

A self-sustaining two-sided loop. Fan acquisition is driven by existing FAST content, not cold-starting a consumer app.

1. Broadcasters
FAST providers (Local TV, Scripps, Xumo) supply free live sports content and share ad inventory with ArenzaTV.



2. Fans
Watch split-screen sports, play free prediction games, and earn reward points for engagement.

3. Local SMBs
Fans redeem points via QR. SMBs get guaranteed foot traffic and pay hyper-local sponsorship fees.

4. ArenzaTV
Earns ad revenue share from FAST + SMB sponsorship fees, injecting capital back into the ecosystem.

The FAST Sports Partnership Landscape

Strategic Focus: Initial targets are tier-two/tier-three properties (local TV stations, Scripps, RSN successors, challenger leagues like NWSL) highly motivated to experiment with hybrid monetization.

Provider Type	Content Focus	Business Model	ArenzaTV Partnership Opportunity
Broadcaster-Owned (E.W. Scripps / SSN)	PWHL, NWSL, NHL	50/60 revenue share	Ad inventory share on local sports content.
Platform FAST (Xumo, Pluto TV, Roku, Tubi)	Multi-sport, CTV home screens, highlights	Ad-supported / Revenue share	Localized ad slot insertion tied to sports content.
Station-Owned Local OTA	Local NFL, college, regional teams	Local spot ad model	Direct content licensing and local ad co-sell (e.g., WDRB Louisville).
League-Direct (NFL+, NBA App)	Preseason, select live games	Ad-supported free tier	Companion app / second-screen integration.

De-Risking the Revised Architecture

Content Rights Licensing Resistance
Potential for tier-one broadcasters to resist new licensing models.

Mitigation
Bypass tier-one initially. Target highly motivated local TV stations, RSN successors, and challenger leagues eager for hybrid monetization.

FAST CPM Headwinds (Low yields)
Market saturation leading to reduced ad rates and lower revenue.

Mitigation
Model does not rely purely on FAST CPMs. Hedges low streaming ad rates by layering high-margin local SMB sponsorship fees.

Consumer Cold-Start
Difficulty in acquiring new users for a new application without an existing base.

Mitigation
By distributing through established FAST channels, ArenzaTV taps into hundreds of millions of existing viewers. Meaningful day-1 merchant density provides the hook.

App Store Classification (Gambling)
Risk of app being categorized as a gambling platform due to prediction mechanics.

Mitigation
Purely social, free-to-play prediction mechanics with non-cash, non-crypto local business rewards sit safely within Apple's guidelines.

The Scale of the Validated Market

$38.76 Billion
Global Sports Streaming Market (2026)

$14.88 Billion
U.S. FAST Revenue (2026) reaching 131.4M users

$15.19 Billion
Loyalty Management Market (2025)

$17.8 Billion
Sports Fan Loyalty Market (2033) at 12.1% CAGR

216.8 Million
Second-Screen U.S. Audience (2026)

$20 Billion
Local/Regional Sports TV Ad Spend (Annual TAM)

The revised B2B2C model eliminates primary adoption friction while capturing the intersection of $38B+ in sports streaming and a $20B local ad market starved for attribution.